BOARD MEETING OF THE CBA

MINUTES (14.12.2021)

On the Refinancing Rate

The CBA Board Meeting of December 14, 2021 attended by CBA Governor M. Galstyan, Deputy Governors N. Yeritsyan and V. Abrahamyan, and Board Members A Stepanyan, H. Ghahramanyan, H. Khachatryan, D. Nahapetyan and A. Manukyan

The Board meeting opened with a report of the situation as of December 14. It addressed the developments on inflation, external environment, and real, fiscal, financial and monetary sectors of the economy.

As noted, in November 2021, 1.7% inflation was recorded, as opposed to inflation of 1.3% in the same month of the previous year, as a result of which ***12-month inflation grew, reaching 9.6% by the end of the month***. The monthly inflation was contributed by 3.3% growth in “Food, Beverages and Tobacco” product group, in the structure of which the price growth of *fruit* and *vegetable* subgroups prevailed (4.8% and 16.4%, respectively. In November, prices for non-food products grew by 0.8%, and prices for services, by 0.4%. After the stable dynamics of the previous months, ***12-month core inflation*** during November grew as well, totaling ***8.4%.***

Current developments in the foreign sector were presented, according to which quick recovery of economic activity and aggregate demand in Armenia's key partner countries continues. At the same time, the new strain of coronavirus is rapidly spreading worldwide, leading to additional uncertainties and risks. At the same time, it was stated that, in light of the disruptions in the global economy, which go hand-in-hand with the rapid recovery of external demand, as well as limited supply in a number of commodity markets, prices in the international commodity markets are projected to rise to high levels over the whole forecast horizon. In such a situation, higher inflation developments and acceleration of inflation expectations are observed in the partner countries of Armenia. In order to mitigate them and ensure fulfillment of the inflation target in the medium term, central banks of partner countries continue to tighten monetary policy.

The Board reviewed current developments of the RA economy, and it was noted that the growth of economic activity falls short of the expectations of the Central Bank, mostly because of slowdown in the growth of agriculture and industry sectors. At the same time, aggregate demand remains positive, which, in contrast to the previous quarters, is currently greatly facilitated by the high external demand due to the higher-than-expected growth rates of tourism. While domestic demand is still sluggish, in view of some slowdown in the export of goods, it is expected that by the end of the year there will be some deterioration of the balance of goods, which will be partially offset by the impact of more positive developments in net tourism exports. According to current estimates, both in 2021 and in the medium term, fiscal consolidation implemented pursuant to the principle of debt stability will have a certain restraining effect on domestic demand. However, due to large-scale capital expenditures in 2022, the restraining effect will be significantly mitigated, which will in turn positively contribute to the restoration of economic potential.

The Board reviewed the developments in financial market of the Republic of Armenia and noted that in the reporting period, short-term market interest rates were formed around policy rate of the Central Bank. It was noted that in line with the recent decision to leave the policy rate unchanged, market interest rates in November were relatively stable.

Inflation developments and estimates of inflation expectations were presented to the Board. It was noted that the acceleration of inflation this time was mainly deriving from high external inflation. At the same time, the high inflation in the international markets, according to both foreign analysts and the Central Bank, would gradually decrease in 2022, provided factors disrupting the supply were neutralized. However, current assessments show that value chain disturbances will persist for a longer period of time, as a result of which the central banks of the advanced economies are already reviewing their monetary policy approaches. In such a situation, inflationary spillover effects transmitted from the external sector and positive developments in demand lead to acceleration of quarterly headline inflation, which, according to estimates, also contributes to a certain augmentation of household inflation expectations.

Following a discussion of the situation report and external and domestic macroeconomic developments, the Board proceeded to addressing the monetary policy directions and making decision on the policy rate. Taking into account the substantial spill-over inflationary effects transmitted from foreign economy, as well as the projected developments of inflation expectations, ***the forecasting team suggested to the Board increasing the refinancing rate by 0.75 percentage points***. Despite all Board members approved the baseline forecast scenario and key judgments presented, other policy responses were also reviewed. In particular, some members of the Board believed that in the face of rising inflation and expectations, it was necessary to raise the policy rate, but not with the proposed big step, given the accumulated uncertainties. Some Board members felt that in the face of the spread of new global pandemics, domestic demand developments and global supply constraints, as well as a number of geopolitical uncertainties, it was feasible to refrain from revision of monetary policies at that time, with the view to consider tightening monetary policy in the near future. Finally, ***the CBA Board decided with a majority of voices to raise the refinancing rate by 0.5 percentage point***. Under such conditions, it was projected that the 12-month inflation would gradually decrease and in the forecast medium-term horizon would approach the target of 4% and stabilize around it.

The Board of the Central Bank noted that the risks of inflation deviation from the projected medium-term trend amid the still uncertain economic prospects are mostly upwards, deriving from the ongoing value chain disruptions and supply constraints in international markets, possible pandemic developments and uncertainties arising from geopolitical developments in the region and growing financial market volatility. In case of their materialization the Central Bank stands ready to respond accordingly in fulfilment of the price stability objective.

The Board approved interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached.

THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA

BOARD DECISION

ON ESTABLISHMENT OF INTEREST RATES OF THE CENTRAL BANK OF MONETARY POLICY INSTRUMENTS AND PRESS RELEASE ON REFINANCING INTEREST RATE

By virtue of Article 2(3), Article 20 “c” and “e” points of the Republic of Armenia law “On the Central Bank”, and provisions of the Republic of Armenia law “On Normative Legal Acts”, the Board of the Republic of Armenia Central Bank, herewith enacts:

1. Set the refinancing rate of the Central Bank of the Republic of Armenia at 7.75%.

2. Set the lombard repo facility rate offered by the Central Bank of the Republic of Armenia at 9.25%.

3. Set the deposit facility rate offered by the Central Bank of the Republic of Armenia at 6.25%.

4. Approve the press release on the refinancing rate of the Central Bank of the Republic of Armenia (attached).

5. This decision shall enter into force on the day following the day of its publication on the website of the Central Bank of the Republic of Armenia.

Martin Galstyan,
Governor of the Central Bank
December 14, 2021

PRESS RELEASE
14.12.2021

At December 14, 2021 meeting, the CBA Board decided to raise refinancing rate by 0.5 percentage points, setting it at 7.75%.

Inflation in November 2021 totaled 1.7%, compared to 1.3% in the same month of the previous year, as a result of which the 12-month inflation grew to 9.6%. After stable performance in recent months, the 12-month core inflation increased in November, reaching 8.4%.

Strong recovery of economic activity and aggregate demand in the main partner countries of Armenia continues. In such a situation, amid remaining supply bottlenecks, a significant expansion of the inflationary environment is observed in international commodity and food markets. The latter is further reflected in the substantial acceleration of domestic inflation in partner countries as compared to previous projections. In order to mitigate high inflation expectations and to achieve the inflation target, Central Banks of partner countries continue to tighten monetary conditions. Altogether, it is expected an increase in inflationary impact from the external sector on the Armenian economy.

The current economic activity in Armenia is estimated to be lower than expected, mainly because of the slowdown of growth in agriculture and industry. Still, positive demand developments carry on, which is currently supported by external demand due to higher-than-expected growth rates of tourism. Against the background of inflationary effects from the external sector and positive demand conditions, certain acceleration of quarterly core inflation and inflation expectations is estimated.

In view of the upsurge of inflationary impacts from the external sector, as well as the estimated developments in inflation expectations, the Board judges appropriate to increase the refinancing rate.

The 12-month inflation is projected to gradually decrease, approaching the target of 4% in the medium-term forecast horizon, and stabilize around it.

The CBA Board assesses that amid the still uncertain economic outlook, the risks of inflation deviating from the projected medium-term path are mainly upward, and should they materialize, the Board stands ready to respond accordingly in fulfilment of the price stability objective.

Press Service of the Central Bank of Armenia